

Q2 2021 Earnings Call

Company Participants

- Cameron Donahue, Investor Relations
- Edwin F. Negron-Carballo, Chief Financial Officer
- John Fieldly, President, Chief Executive Officer & Director

Other Participants

- Anthony Vendetti, Maxim Group
- Jeff Van Sinderen, B. Riley
- Jeffrey S. Cohen, Ladenburg Thalmann & Co. Inc.
- Kaumil Gajrawala, Credit Suisse
- Sean King, UBS

Presentation

Operator

Greetings and Welcome to Celsius Holdings Inc Second Quarter 2021 Financial Results. At this time, all participants are in a listen-only mode. A question-and-answer session will follow the formal presentation. (Operator Instructions) As a reminder this conference is being recorded.

It is now my pleasure to introduce your host Cameron Donahue, Investor Relations for Celsius Holdings. Thank you. You may begin.

Cameron Donahue {BIO 16529132 <GO>}

Thank you and good morning, everyone. We appreciate you joining us today for Celsius Holdings Second Quarter 2021 Earnings Conference Call. Joining me on the call today are John Fieldly, President and Chief Executive Officer; and Edwin Negron, Chief Financial Officer. Following the prepared remarks, we'll open the call to your questions and instructions will be given at that time.

The company follows Form 10-Q with the SEC and initiate a press release today. All materials are available in the company's website at celsiusholdingsinc.com under the Investor Relations section. As a reminder, before I turn the call over to John, an audio replay will be available later today.

Please also be aware this call may contain forward-looking statements which are based on forecast, expectations, and other information available to management as

of August 12, 2021. These statements involve numerous risks and uncertainties including many there beyond the company's control. Except to the extent as required by law Celsius Holdings undertakes no obligation, disclaims any duty to update any of these forward-looking statements. We encourage you to review in full our safe harbor statements contained in today's press release and our quarterly filings with the SEC for additional information.

With that, I'd like to turn the call over to our President and Chief Executive Officer, John Fieldly for his prepared comments. John?

John Fieldly {BIO 17560616 <GO>}

Thank you, Cameron, good morning, everyone and thank you for joining us today. Our record second quarter results are representative of the momentum at the Celsius brand is achieving across the Board with increased sales growth, SKU expansion, distribution gains, increased brand recognition, and increased organic social support are just some of the drivers supporting what we feel has been a significant step up for the company. We believe these also provide leverage to drive further acceleration and market share gains.

Total sales for the quarter totaled \$65.1 million up 117% from \$30 million in the year ago quarter. Our domestic revenue increased a 157% to \$53.7 million up from \$20.8 million in the year ago quarter, with both of these percentage growth rates the highest in our history. Two of the highest hardest hit channels from COVID, our fitness channel and vending channel each had triple digit growth, which contributed approximately \$4.9 million of incremental revenue when compared to the prior quarter. International sales growth grew 25% to \$11.5 million, primarily from a 23% growth in Nordic sales of \$10.8 million. Even with the record second quarter and first six months of 2021 we're still dealing with the impacts of COVID-19 including in our international markets, increased cost of raw materials and transportation, our fitness channel and vending channels saw tremendous growth of both a year-over-year period and sequential basis with positive trends continuing into third quarter. Although the comparable basis from the this is from the second quarter of 2022 was the low mark for both of these channels, the great growth rate and total sales for each continue to improve.

Our EU middle East Asia Pacific Australi, operations remain adversely affected by COVID-19 with varying restrictions and lockdowns in these markets. Overall we have been seen sequential improvements over the last several quarters with capacity restrictions as well as re-openings in the hardest-hit channels, but there still remains a lot of uncertainty as there potentially could be re closings due to new variants and cases increasing in our regions of operations would could force extended closures in some states and countries.

The health and safety of our employees and partners remains our top priority. And the safety precautions have been implemented, which we haven't developed and adopted in line with guidance from public health authorities. The aluminum can shortage driven by COVID and impacting the entire industry remains in place. But

for Celsius, we believe we are well-positioned from our proactive sourcing of international cans and new relationships with top can manufacturers in the US, which have been initiated major expansion projects and continued to anticipate the completion of this expansion in the back half of 2021 through 2022.

We implemented our contingency plans around production, in which imported can production started in March 2021. We anticipate 50% of our can supply for 2021 will be derived from imported and wrapped cans, which should decrease late in 2021 and through 2022. We expect a significant majority of cans will be sourced domestically in 2022, improving our margins. And at this point, we believe Q1 of 2021 was the low point for margins with the back half of 2021 showing sequential improvements towards our physical year 2022 -- 2020 levels. In addition, the team is expanding warehouse distribution sites to six regional orbit model to drive efficiencies, implementing plans to further secure raw materials with minimum floor stock programs, blanket purchase orders in second and third alternatives of suppliers. The teams continue to quickly adapt to new COVID environment and are focused on driving efficiencies and operational performance and believe we are -- with our significantly expanded scale, we have the opportunity to leverage this to reduce input costs as we move forward. We have also further integrated and leverage synergistic benefits from our global operations, focused on marketing, operations, financial integrations, implementing our strategy to build a global dominant iconic brand.

The company improved our fill rates through the second quarter from the 80% level in Q1 driving -- driven by shipping delays and can shortages, gas shortages in the east coast and the Texas freeze which impacted our co-packers and warehouses for several weeks. We ended the second quarter in June at approximately, 90% fill rate and expect to see this improve further in the back half as we continue to reach normalized levels of inventory.

Turning to some additional financial highlights for the second quarter. Our domestic sales revenue topped \$53.7 million was driven by accelerated triple digit growth in traditional channels of trade, expansion of world-class retailers and further activation and growth from our distribution partners. Our DSD, direct store delivery network delivered growth of 333%, and our distributor revenues when compared to their prior year. Our fitness channel as discussed, sales increased over 300% from the prior year an addition to our vending growth with sold over of 250% growth rates, which together contributed of that \$4.9 million of incremental revenue when compared to the prior year. As of July 1, we have over 18,500 vending micro market placements and we expect that growth to continue throughout the year as we drive additional new national distribution agreements, with performance food group, contracts, and additional several regional agreements.

In addition all major chains at our gym fitness channel expanded SKUs where we further expanded our new offering, our new flavor, our Tropical Vibe, and our Strawberry-Guava flavor which is now the number one selling flavor in the fitness channel. Our mass club channel continues to accelerate. We are now fully rolled out

nationally in all 561 cost co locations. In addition in target, we have converted approximately 95% to DSD and are also in process of launching four-packs.

On our convenience channel side in North America, which represents the largest market in the energy drink category with over \$10 billion in annual sales, the latest SPINS data shows an 86% year-over-year increase for Celsius product portfolio in the convenience channel compared to a 9.1% overall growth in the energy category, while Celsius is only holding a 17.1% ACV, which truly shows the opportunity we have lying ahead as we continue to further expand.

Through this year we have added over 19,000 convenience stores to the last 12 months with additional accounts expected, anticipated as fall resets take place. This is per SPINS shelf stable energy, functional beverage convenience 52 weeks ending July 11, 2021.

Industry backed third-party data continues to show accelerated growth metrics. We are confident to Celsius, we'll continue to drive sales even higher as we continue to increase our ACV across channels through additional launches with nationwide retailers chains and transforming our existing distributions to our DSD service model network. Consumer demand for Celsius accelerated through the second quarter of 2021, with most recent reported Nielsen scan data, as of July 3, 2021, showing sales of Celsius were up 193% year-over-year for the two weeks ending, and 195% for the 12 weeks ending with a 1.6 share of the total energy drink category over the last four weeks.

On Amazon, Celsius is a third largest energy drink with a 13.12% share of the energy drink category, just 1.32% share behind Red Bull at a 14.44% share and 18.13% behind MONSTER at a 31.25% share, last 52 weeks ending July 10, 2021 Stackline energy drink category, total US. And for the four weeks ending July 3, 2021, category sales including some shots surged a 104.5% with bank sales up 216.1%, Celsius sales were up a 133.1%, Red Bull sales rep a 109.4% and Monster sales were up 59.9%. According to Stackline latest year-to-date leaderboard ranking most popular search brands in the US grocery department, Celsius is the number one fastest-growing brand, while positioned at an 18 overall for the reported period ending July 3, 2021.

We continue to see acceleration and now beginning to also see the additional lift from the conversion of our accounts to our national DSD network. This delivered a growth of the 333% in our distribution revenues when compared to the prior year second quarter. We secured additional distribution agreements with partners in the Anheuser-Busch network, independent Anheuser-Busch network, independent PepsiCo, Keurig Dr.Pepper and our MillerCoors network further expanding availability to new regions as Celsius builds out as national distribution network, which now includes over 190 regional direct store delivery DSD partners distribution centers, now covering approximately 90% of major metropolitan markets, and 85% of total US counties are now covered.

We also filled one of the major gaps in our DSD network is the Mid-Atlantic region, adding additional -- securing initially additional three new distributors in that region, which were signed up in the second quarter. Transitioning to DSD continues with our retail partners with 45% of retail stores are now service by DSD. Key accounts converted with over 75% transitioned DSD include Target, Walmart, RaceTrac, Kroger, Circle K, Speedway & Murphy USA., with CVS and 7-11 also in the process with more being transitioned in the back half of 2021 and through 2022. Our rollout of Celsius Brandon coolers in the second quarter totaled approximately 300 and now have over 500 placed in the market through the first six months of 2021. We have also implemented additional comprehensive tracking tools to leverage our growth and accelerate the metrics and the retail partners. We expect additional cooler placements through the back half of this year at similar or increased numbers as we continue to see strong velocity rates and increased same-store sales.

Today in the United States, our total door count now exceeds over 100,000 locations, which is a major milestone. And grew over by 20,000 doors in the beginning of 2021, with additional expansion plan throughout the rest of this year's retailers resets take place.

On our co-packer front, we continue to expand our partners and scale at existing locations, improving our line time priority. Our total US co-packer footprint now totals nine active locations, which will help fuel our growth and limit our out of stocks and support the national massive growth opportunity that lies ahead.

During the second quarter, we increased our inventory levels up to \$63 million up 27% from \$36 million at the end of the first quarter, to support our growth and increased warehouse distribution centers, and to better service our customers and meet demand, as well as increase our inventory raw materials.

In Europe, Nordic sales increased 23% versus the prior year helped by the growth of their Celsius portfolio and the launch of two new flavors of Tropical flavors. In addition, our global Celsius EMEA packaging launched in Finland, where the initial results have been extremely positive and has been further rolled out to a top main retailer SOK, expanding to 832 locations. The fast portfolio experienced at a stocks during the quarter due to co-packer delays associated with COVID, which has started to normalize in the back half of the quarter. Celsius sales made up for the reduction because the reduction in the fast portfolio to drive positive growth in territory.

We also have initially a soft launched the fast portfolio in the US through Amazon. We continue to evaluate the timing of additional European expansion markets. We are confirmed to launch the first Amazon EU Market of UK and Germany in the back half of 2021 and expect to launch additional EU countries through 2022, including Sweden, Spain, Italy, France and several others. In China we maintain a licensing royalty model in the market where our distributor covers approximately 76 cities and over 60,000 locations of distribution. Our other International markets have been impacted in both the end. Country service and our buyer co-packers, supporting these countries due to COVID impacts. We anticipate that these geographies ones fully opened will provide additional long-term growth opportunities.

As with Europe and the United States we see significant opportunities to capitalize on a global scale reflecting the changes in consumer preferences for better-for-you offerings in this enormous Asia market.

Now, moving into marketing. On the marketing front we continue to activate, targeting consumers, where they live work and play building meaningful and emotional connection through robust integrated marketing programs. Specifically during the quarter, despite the COVID restrictions, we sponsored targeted programs, both in-person and virtual, we further expanded and integrated our experiential sampling Live Fit Tour in Florida, Texas and California and other markets as well.

In addition, we further expanded our brand ambassadors influencer programs reaching more consumers in a meaningful way. In addition, on June 9, 2021, the company completed an offering, which generated net proceeds to the company of approximately \$67.8 million, intended use of proceeds primarily for growth capital including building of inventory to support our sales growth, leveraging and optimizing our warehousing, targeting and investments, and targeted marketing programs, as well as the expansion of the Celsius branding cooler program.

We have reached another inflection point and our operations and growth one which position Celsius for exponential sales and market share growth. With this, we have been proactive in the building the Celsius team to maximize the opportunity as well as with key partners such as Ernestine Young as our Corporate Auditors beginning in the third quarter of 2021. Our national DSD network is in place with a retail partners accelerating distribution which we have only just begun to recognize the incremental growth associated with these transactions. Our team is ready and our infrastructure is in place to support the sales growth we expect on an expedited scale.

I will now turn the call over to Edwin Carballo, our Chief Financial Officer for his prepared remarks. Edwin?

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you, John. First I wanted to cover the June 9 public offering led by UBS and Jeffries. The company issued and sold 1,133,953[ph] shares of common stock, approximately a 1.7% dilution and the selling stockholders sold, 6,257,455[ph] shares in the aggregate of common stock in the offering at a price of \$62.50.

The offer in generated net proceeds for the company of \$67.8 million , with net proceeds for Celsius stock holders of \$375 million. The company did not received any proceeds from the sale of shares by the Celsius stockholders. The company intends to use the proceeds for general corporate purposes such as working capital ,financing ,expanding our Celsius branded cooler program and expanding our warehouses ,and distribution model to reduce miles on cans and better service our distributors.

Now turning to the second quarter the second quarter results. Our second quarter revenue for the three months ended June 30, 2021 was approximately \$65.1 million, a robust increase of \$35.1 million which translated into a significant growth of a 117% from \$30 million for the three months ended June 30, 2020. Approximately 94% of this growth was a result of increased revenues in North America where 2021 second quarter revenues were \$53.6 million a considerable increase of \$32.8 million or an impressive, 157% increase from the 2020 quarter. The balance of the increase was largely attributable to a 23% growth in European revenues to \$10.8 million in the 2021 quarter from \$8.8 million in the prior-year quarter.

Asian revenues, which primarily consists of regulatory revenues from our China licensee for the three months ended June 30, 2021 were \$619,000, an increase of 89.9% from \$326,000 for the prior-year quarter. This increase was provided for in our licensing agreement. Other international markets generate \$62,000 in revenue, during the three months ended June 30, 2021, a decrease of \$45,000 from \$107,000 for the prior-year quarter mainly related to an operational restructuring in the Middle East.

The total increase in revenue was mainly related to increases in sales volume as opposed to increases in product pricing. The primary factors behind the increase in North American sales volume, were related to continue strong triple digit growth in traditional distribution channels combined with an increase in an optimization of our presence in world-class retailers. Additionally, the continued expansion of our DSD network resulted in significant growth in distributor revenues when compared to the prior year quarter. We also achieved triple digit growth in our fitness and bending[ph] channels in the 2021 quarter which contributed considerable incremental revenue when compared to the prior year quarter during which time many fitness facilities were closed due to the COVID-19 pandemic. Furthermore, we estimate that the strengthening of the Europe accounted for approximately 2.3% of the increase in European revenue in the 2021 quarter from the prior year quarter.

Gross profit for Q2 increased by approximately \$15.2 million or a 117% to \$28.2 million \$2 million from \$13 million for the three months ended June 30, 2020. Gross profit margins reflected a nominal increase to 43.4% for the three months ended June 30, 2021 from 43.3% for the 2020 quarter. Excluding freight as some of our competitors do not include this as cost of goods sold. Our adjusted gross profit for the second quarter would translate to 51.8% compared to 50.5% in the second quarter of 2020. The increase in gross profit dollars is mainly related to increases in volume, while the nominal increase in gross profit margins is mainly related to lower processing costs ,and repackaging costs. We estimate that the increase in gross profit dollars of approximately \$15.2 million from the 2020 quarter to the 2021 quarter reflected \$14.4 million related to volume increases as well as favorable cost impact of approximately \$25,000 and favorable currency impact of \$796,000.

Sales and marketing expenses for the three months ended June 30, 2021 were \$15.5 million, an increase of \$7.6 million or 96.2% from \$7.9 million for the three months ended June 30, 2020. This increase was mainly attributable to additional marketing investment activities, which resulted in an increase of \$4.2 million when compared to

the prior year quarter. Additionally, employee costs increased by \$900,000 from the year ago quarter, as we continue to invest in this area, in order to have the proper infrastructure to support our growth.

Additionally, we're now incurring in travel and business expenses as we're able to resume our in-person marketing events and selling activities. Similarly we experienced increases in other sales expenses in the amount of \$795,000 mainly related to trade and marketing activities to support our ongoing DSD network expansion. Lastly, storage and distribution expenses as well as broker costs accounted for the remainder of the increase in this area of \$1.7 million from the 2020 quarter. As a percentage of revenue sales and marketing expenses amounted to 23.9 in the second quarter of 2021 compared to 26.2 in the second quarter of 2020.

General, administrative expenses for the three months ended June 30, 2021 were \$9.1 million, an increase of \$5.2 million or 133% from \$3.9 million for the three months ended the June 30, 2020. This increase was primarily attributable to stock option expense which amounted to \$4 million for the three months ended June 30, 2021 or an increase of \$2.8 million which accounts for 51.9% of the total increase in this area when compared to the prior year quarter.

Management deems it very important to motivate employees by providing them ownership in the business in order to promote over performance.

Additionally employee costs for the three months ended June 30, 2021 reflect an increase of and \$670,000 or 61% as investments in this area are also required to properly support our higher business volume and the commercial and operational areas of the business. Additionally, travel and other similar expenses are now being incurred. Administrative expenses amounted to \$2.7 million or an increase of \$1.4 million or 107.7% when compared to when compared to the prior quarter. This variance is mainly related to an increase in back debt reserve of \$650,000 to properly cover any potential realization exposures. We also experienced increases in audit costs, legal expenses, insurance costs, and office rent, which accounted for the majority of the remaining fluctuation of \$750,000. Depreciation and amortization increased by approximately \$124,000 when compared to the prior year quarter.

Lastly, all other administrative expenses which were mainly composed of research, development, and quality control testing increased by \$200,000 when compared to the second quarter of 2020. Total net other income for the three months ended June 30, 2021, amounted to \$361,500, which reflects an increase of \$51,500 when compared to the total other income of \$310,000 for the three months ended June 30, 2020. The total other net income of \$361,500 is composed of foreign currency exchange gains of \$178,000. Miscellaneous other non-operational income of \$108,000, interest income of \$77,000 related to the note receivable from our China licensee, which were partially offset by miscellaneous interest expense of \$1,400, pertaining to financial leases. The not[ph] receivable requires repayment by our licensee over a five-year period. The not receivable is due from the licensee in accordance with its terms even if the independent license arrangement is terminated.

As a result of the above the net income for the three months ended June 30, 2021 was \$3.9 million or \$0.05 per share on a weighted average of 73.2 million shares outstanding and diluted earnings of \$0.05 per share based on a fully diluted weighted average of 77.2 million shares outstanding. In comparison for the three months and the June 30, 2020, the company had net income of approximately \$1.6 million or \$0.02 per share based on a weighted average of 69.4 million shares outstanding and a diluted earnings per share of \$0.02 based on a fully diluted weighted average of 71.5 million shares outstanding.

Focusing now on liquidity and capital resources. As of June 30, 2021 and December 31, 2020 we had cash of \$83.8 million and \$43.2 million respectively. And working capital of a \$151 million and \$66.2 million respectively with no long-term debt. Cash flows used by operating activities totaled \$30.3 million for the six months ended June 30, 2021, representing a \$26.1 million increase from net cash used in operating activities of \$4.3 million for the six months ended June 30, 2020.

The use of cash was, mainly related to increase in our inventory levels in order to properly service demand for our products. Our net inventory increased \$45.4 million from Q4, 2020 to \$63.8 million in Q2 of 2021. Excluding this significant increase in inventory, cash flow from operations would have totaled \$15.1 million.

I also wanted to cover a few additional metrics we believe provide a good perspective of our operational performance using Q2 business volume as a basis. Our DSOs or daily sales outstanding were approximately 45 days. Our inventory days on hand were approximately 155 days and are payable alright days, payable outstanding were approximately 31 days. Given our growth, these are very good working capital metrics.

Lastly, adjust EBITDA for the second quarter was \$7.9 million or 12.2% of revenues. We believe this information of adjust EBITDA and other non-GAAP financial measures enhance the overall understanding and visibility of our true business performance. To that effect, a reconciliation of our GAAP results to non-GAAP figures has been included in our earnings press release.

This concludes our prepared remarks. Operator, you may now open the call for questions. Thank you.

Questions And Answers

Operator

(Question And Answer)

Thank you. Ladies and gentlemen at this time, we will be conducting a question-and-answer session. (Operator Instructions). Our first question comes from the line of Kaumil Gajrawala with Credit Suisse. Please proceed with your question.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Thank you, operator. Hey, everybody a couple of questions, I guess first, there's on just meant to be quite a significant amount of, I guess catch up shelf resets this fall after some delays and all sorts of things. Obviously, you've gained quite a bit of distribution, you have some momentum, should we be expecting that to accelerate into those resets or do you think you've maybe captured a reasonable amount of what you would have captured at a reset. Anyways we should just expect things to come off continue along its current path?

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Kaumil, this is John. We look at resets, we added about 20,000 stores through the first six months of the year, reaching a 100,000 doors is a major milestone for the company. What we're seeing coke energy is getting de-listed out there right now and our team has been extremely aggressive, potentially getting some of that space for us in the back half of this year as retailers are doing some major cut in.

So don't see some of the resets are a little bit unique given with COVID in 2020, there is some different timing on recess. So we are seeing shelf resets get for gaining additional distribution, we expect to gain additional distribution in Q3 also the activation of the DSD network really going after small format in independence is a huge opportunity for us as we continue to activate this DSD network.

So, we anticipate stores to continue to grow. We'll see at the same rate, but we are -- early indications are we will continue to grow doors throughout the year. And then as we anticipate larger resets happening in 2022.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Got it. And then if I can ask about Europe, you mentioned that you are planning on launching an Amazon Europe in a series of markets. Can you maybe just add a little bit more detail on maybe the market size, what your expectations are for contribution in those launches that sort of thing?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I've been talking about it for some time. We're obviously doing extremely well on Amazon in North America and working with the European partners and divisions over there. We're looking for really in Q3 to launch in the U.K. and Germany and other markets early indication, it is a -- that the overall size of the energy drink market on Amazon is not as large as the U.S.

We do anticipate incremental revenue but most importantly it gives us additional exposure as we expand into these markets. So think of it as air cover for say as we entered the U.K. and Germany and opportunity as we look for partners in retail as well as distributors, so lots of opportunity as we look to further expand throughout Europe, but in regards to significant dollars the top line, we'll see how it prevails. But food anticipated to be incremental.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Okay. Great. And maybe a final question on margins that it's you it sounds like you have quite a bit of confidence in getting your gross margins back up to where they were which I guess was just under 47% last year. Is that what you were indicating when you're saying, by the way, and we will sequentially get better to get back to that 40 against 46, or was that maybe longer range? Is that kind of a year, like a figure for when you intend to exit the year, what you think you'll get the full year to?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. We're still in the back half of 2021 this year, we're going to see sequential growth anticipated in the margins as we've seen in Q1 and in Q2. There's a lot of variables out there freight costs as well and then you know, extremely volatile, as well as we will be cycling through some imported cans, and raw materials.

So that will put some pressure on our margins in Q2, and potentially into Q4. We do anticipate more U.S. can manufacturing to be utilized towards the back half of 2021 and into 2022. And Edwin I don't know if you want to add any additional color on that.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah. Thank you, John. Yeah, I agree. There's a lot of variables and the other one that I always like to emphasize is the parity between the U.S. dollar and the Euro and the dollar is strengthening. So, I think that's also going to come into play as well again, so difficult to kind of predict where we're going to land, but I always want to make sure that, that's also taken into consideration.

A - John Fieldly {BIO 17560616 <GO>}

Yeah, no, good point. But we do anticipate the Q2 results of around 43% gross profit to anticipate, being the floor as we continue to move forward.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

I agree.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Okay. Got it. Thank you, everybody.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Kaumil.

Operator

Our next question comes from the line of Sean King with UBS. Please proceed with your question.

Q - Sean King {BIO 15889310 <GO>}

Hey, good morning, guys. Thanks for question. How are you thinking about pricing in the energy drink category. And they give maybe your ability to take pricing given some of the consumer loyalty metrics that you've seen?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I mean consumer loyalty is an extremely high for us, that's one of a competitive advantage we had is our loyal fan base. In regards to pricing, we do you think there's opportunities on pricing as we continue to grow at scale.

When we look at pricing right now, we're really watching what the other players in the category are doing and also, same with monster and many players really watching our promotional allocations, allowances and plans as we go forward to mitigate the overall frontline price increase.

Q - Sean King {BIO 15889310 <GO>}

Great. If I can squeeze one more in, I just truly was curious just to how to understand the mechanics of the shifted DSD and as that does have a drag on margins going forward.

A - John Fieldly {BIO 17560616 <GO>}

Yeah, no it's a great question. I mean, there is a somewhat of a transition we are getting up top line dollars and we're getting up margin to move to our DSD network, but there's a lot of synergistic benefits that you receive on transitioning. So what we're seeing is it's really potentially margin neutral and also where we see opportunities as we grow further scale to really leverage some of those efficiencies on a larger scale operations as we continue to grow to further increase our margin. So at this point as we make the transition it has been fairly neutral.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah, the way I would look at it as well is the my perspective as kind of short-term versus long-term or mid-term initially you have there may be an impact that construction but as John mentioned, then with the synergies and the other benefits will definitely be able to make better.

Q - Sean King {BIO 15889310 <GO>}

Great. I'll pass it on. Thanks a lot.

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thanks John.

Operator

(Operator Instructions) Our next question comes from the line of Jeffrey Cohen with Ladenburg Thalmann. Please proceed with your question.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Hi, John and Edwin. How are you?

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Good morning, Jeff.

A - John Fieldly {BIO 17560616 <GO>}

Good morning, Jeff. Excellent.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Okay, just a bit of a follow up on a couple of Kaumil's questions as far as the other big part plus in Western Europe, you're going to launch out on Amazon. Are there any plans for other channels to happen in the, the shorter mid-terms or as the gym channels or retail?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, that is a massive opportunity. We're under discussions. You know, we're looking at that with a variety of opportunities of potential partners. So more on that in the coming quarters, but at this point our first step is to expand with Amazon and then we're looking for other partners in those in those markets where we're under discussions.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Great. And then second first, could you talk about the, the coolers and what we should expect for the back half and, talk a little bit about some of the channels and velocity that you're getting to there and how that may roll out and submit the data in stores as far as what they're finding as far as the effect on the products? Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Yes. It's a great question. In regards to sitting here in 2019 and 2018, we have imminent to 2020, we really had a lot of out of stocks at retail just due to the velocity of the product. So moving to DSD is one step and enhancing our availability, maintaining that in stock position and then taking it to the next step further is getting coolest placed in strategically and locations where really can drive the velocity and really service our customers.

Historically up until really over 12 months ago, the majority of our sales are all take home so with the cold availability that allows us to take part of the larger energy drink category which is that immediate impulse purchase and what we're seeing when we play schoolers in strategic locations where the consumers are seeing great returns on their investments in the coolers ROI and better servicing for our customers and also it's a greater partnership with our DSD partner.

So and I think of it as like the silent salesperson as well when you see those coolers. They look great. We have indicated as I stated we have about 500 that are currently placed as of June 30th we have many more we anticipate the place in the back half of this year and into 2022, we're working on some cooler programs and some larger retailers for 2022 as well. So really in a good place as we continue to service our customers better where they live work and play.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Got it. And then lastly first, can you talk about the throughput rates previously 80% and 90% reported out this quarter? So we're just kind of steady state and what are the pushing and pulse that are involved? Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Thank you, Jeff. Yeah, fill rates in Q1 roughly around 80%, we have increased those to the back half of the second quarter, mainly in June getting to a 90% fill rate there so, we anticipate that to continue to sequentially increase over the next several months, currently in Q2 we're averaging right around at 94%, 93% fill rate.

That should increase as we further increase our inventories. Moving to this six orbit model of warehousing also allows to drive some efficiencies, the key is to get the inventory levels at a, at the right level, and then we'll be able to continue to improve fill rates.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Thanks again. And congrats on the strong readout.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Jeff.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

Operator

Our next question comes from the line of Jeff Van Sinderen with B Riley, please proceed with your question.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

And thanks for taking my questions. Just any update you can give us on where we are on CVS and 7-Eleven's progress on flipping to maxed out DSD?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, great question, Jeff. In regards to 7-Eleven, we continue to make progress each and every day. The whole West Coast division and turned over or working on the Southeast division and several other regions. So, you seem to have a full support of 7-Eleven, really closing the gaps now that we have about 85% of every county cover in the U.S. really gives us further grip. Our DSD team, really made great strides in the second quarter, securing the final pieces of some of these counties that needed to be covered in order to flip over the zones.

So, really excited on 7-Eleven that's going to continue to transition there. And then CBS, we're making progress on that each and every day. More zones or more DC's are being converted. Still have a lot of work ahead to a to continue to move forward mainly with the Anheuser-Busch network.

There's some challenges on alcohol service, alcohol distributors servicing some nuances, they're working through. But all in all everyone is in favor, and flipping over to DSD and then the CBS, if you look at it, we have full shelves across the country. So lots of opportunity to drive volume to better service our customers.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, great. And then any -- are you anticipating any impact on the fitness in vending channel with the resurgence of COVID? Or do you think we're beyond that?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, it's a great question. I mean, we saw great growth in the second quarter and our fitness in vending, but between the both of them are \$4.9 million. We haven't seen it slowed down yet, that is definitely a concern we're having, we're taking additional protocols and safety per measures throughout the whole company. Time will tell at this point we're seeing especially in Florida, Texas and many markets we're seeing the gyms are coming back.

So people are very cautious but it seems to be a growing opportunity for Celsius. So time will tell I don't have a great answer on that but we're watching monitoring that closely and we're aggressively pursuing those markets.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, and then if I could just squeeze in one more, if you could touch on the launch of the four packs.

A - John Fieldly {BIO 17560616 <GO>}

Yes, the launch of the four packs, Jeff you've been with us for some time as well. And when you look at where we've been it's the company transition to a single strategy to drive trial and awareness.

And now, due to our velocity has increased exponentially, especially in grocery mass. You know, there's opportunities for further pack size and I think everyone has been talking about multi-packs. So what we would do strategically is further expanding the multipack offerings, and the four packs going into Target is a great win for the company, just shows you the velocity.

We started off with three singles, three -- three flavors, four flavors, five flavors, expanded stores. Now we're taking that partnership to the next level with four packs, and soon to be a multipack. We're working on as well as we looked at 2022. So lots of opportunities there, but definitely take home, larger take home it's going to increase our over velocity as well versus people buying one or two cans, you can pick up multiple packs.

It's worked really well for us at Publix as an example, where we have singles, and four pack so. Expect more four packs and multi-packs coming, the back half of 2021 and into 2022.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Thanks, and best of luck.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Jeff.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

Operator

(Operator Instructions) Our next question comes from the line of Anthony Vendetti with Maxim Group. Please proceed with your question.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Thanks. Good morning, guys.

A - John Fieldly {BIO 17560616 <GO>}

Good morning.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Good morning.

Q - Anthony Vendetti {BIO 1504352 <GO>}

So, in terms of the branded coolers, at seems to be to be going well, can you give it a little more color around it the metrics when you put in a branded cooler and then

cap or at the checkout, what do you see in terms of velocity or sell through for that versus before you had the branded cooler in there?

A - John Fieldly {BIO 17560616 <GO>}

I mean it's all about retail execution for us. I mean we're working on our teams are expanding, we're expanding our DSD support teams, our field marketing teams, we have great merchandisers and sales support teams, we're building across the country.

And it's all about now that our brand awareness continues to grow, our velocity grows, we need to have additional placements in store, our goal is to have three placements in every store -- three points of disruption we call it, as well as the importance of cold in an end cap.

So, that's a big initiative that's drives. I mean, it's, it's important that we have that also additional stock on the floor in these retailers. But what we're seeing is the end cap will drive additional incremental rep volume and velocities and then the cold equipment, once it's in and you get cold placement at the proper location.

It grows even further exponentially there. So there's a lot of opportunity, placing cold equipment in the right location, in these our given retailers in our given markets and we're just at the beginning of that.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay. Great, and then in terms of being able to meet the demand out there, I think right now you have around nine, is nine co-packers, if that's correct, is this is that based on your 6 to 12 months plan right now, and what you can see is that sufficient or, are you looking to add some more co-packers at this point?

A - John Fieldly {BIO 17560616 <GO>}

Look we're always talking and looking for great partners, great partners build great plans, and great company. So, constantly talking with new co-packers and potential partners, we do feel, we have the nine co-packers now that are active will solidify our growth in the next 12 months depending on how things go.

We're looking for further partners as well, we do have Paul Storey that joined the company so he has been incremental building out our operations team as our EVP of Operations. So he comes with a great wealth of knowledge and also potential partners.

So lots of opportunity there. I mean if you look at our the velocity at our production levels that we've been producing, over the last two months, we've produced more product than we did in all of 2020. So we are really well positioned as we continue to fulfill the demand that's out there for Celsius.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay. Great. Thanks very much. I'll hop back in the queue.

A - John Fieldly {BIO 17560616 <GO>}

Thanks Anthony.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

Operator

This concludes our question-and-answer session. I'd like to hand the call back to management for closing remarks.

A - John Fieldly {BIO 17560616 <GO>}

Thank you. On behalf of the company, we would like to thank everyone for joining us today and your continued interest. Our results demonstrate our products are gaining considerable momentum, we're capitalizing on today's global health and wellness trends, and the transformation taking place in today's energy drinks category.

Our active lifestyle position is a global position with mass appeal. We're building upon our core and leveraging opportunities in deploying best practices. We have an award-winning portfolio, strategy, and team, and a large rapidly growing market that consumers want. We believe we will be able to continue to navigate to the challenge ahead of us as a result of COVID-19.

And we are well positioned to thrive in the transformation taking place in the category today. In addition, I'd like to thank all our investors for their continued support and confidence in our team. Next week we will be hosting our annual shareholder meeting in August 19th at 2 PM in Boca Raton.

Notices, have been sent out to all shareholders with a record date as of June 30, 2021, additional information is available on our corporate website. Also upcoming conferencing, we will be attending Wells Fargo Fourth Annual Consumer Conference is being held September 23rd to 24th. Also, the Jefferies West Coast Consumer Conference is being held November 16th and 17th. Look forward to seeing many of you there. Thank you, everyone for your interest in Celsius. Be safe. Stay healthy and have a great day.

Operator

Ladies and gentlemen, this does conclude today's teleconference. Thank you for your participation. You may disconnect your lines at this time and have a wonderful day.

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